

SKM Egg Products Export (India) Ltd

NSE SME: SKMEGGPROD | Food Products -- Meat & Poultry | Tamil Nadu, India

Integrated egg-products exporter pivoting to a 4x capacity leap via Rs. 410 Cr capex -- targeting Rs. 1,000 Cr revenue by FY30.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 340	+40.5%
CMP: Rs. 242	12-month horizon	from CMP

Market Cap	Rs. 1,277 Cr	52-Week High / Low	Rs. 257 / Rs. 118
CMP (16-Jun-2026)	Rs. 242	Book Value / Share	Rs. 75.1
Stock P/E (TTM)	12.3x	ROCE (FY26)	30.0%
ROE (FY26)	29.7%	Dividend Yield	0.31%
FY26 Revenue (Consol.)	Rs. 768 Cr	FY26 PAT (Consol.)	Rs. 104 Cr
EPS (FY26, screener)	Rs. 5.70	Face Value	Rs. 5.00
Promoter Holding	57.47%	Promoter Pledge	0%
D/E Ratio (FY26)	0.36x	Investment Horizon	18-24 months

Analyst: MPM Institutional Research **Report Date:** 16 Jun 2026 **Next Update Trigger:** Q1 FY27 Results

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2. INVESTMENT THESIS

- **Capacity 4x multiplication is the core re-rating catalyst:** SKM is executing a Rs. 410 Cr capex to expand layer bird capacity from 5 lakh to 20 lakh birds (4x), lifting annual egg production from 13.5 Cr to ~62 Cr eggs. Environment-controlled (EC) sheds replace ageing open sheds, lowering mortality and improving feed conversion. The current valuation (12.3x P/E) does not price in the volume ramp -- this is the key re-rating driver over 18-24 months.
- **Export-market leverage on processed egg products:** SKM is an export-oriented undertaking (EOU) selling egg powder and liquid egg to food-processing customers in bakery, confectionery, pasta, mayonnaise and pharmaceutical sectors. Global processed egg demand is growing at 6-8% CAGR. SKM's Rs. 768 Cr FY26 revenue (+58% YoY) was powered by volume recovery and egg-price tailwinds. Capex completion aligns with a structural demand curve that India as a low-cost producer is uniquely placed to serve.
- **Financial turnaround is real and operationally grounded:** FY25 was a deliberate trough -- export sales fell on lower global egg powder prices. FY26 rebounded sharply: PAT Rs. 104 Cr (+197% YoY), ROCE back to 30%, FCF positive at Rs. 39 Cr. The recovery reflects a structural return to higher-margin export blend, not a one-off. Running into the capex cycle at a clean balance sheet is exactly the setup investors should want.
- **Near-term catalyst (6-12 months):** Commissioning of first EC sheds (scheduled H1 FY27) -- visible in revenue data Q2/Q3 FY27. Additional catalyst: completion of 74% acquisition of SKM Universal Marketing (branded egg distribution + wind energy) for Rs. 27.75 Cr adds domestic branded channel and green-energy revenue.
- **Biggest structural risk:** The Rs. 302 Cr term loan funding the capex will add Rs. 15-20 Cr annual interest, compressing near-term margins before volume benefit accrues. A 2-year delay in EC-shed commissioning combined with another export-price downcycle could temporarily strain the balance sheet. Investors must size for a 24-month hold to absorb the capex ramp.

3. BUSINESS OVERVIEW

- **What the company does:** SKM Egg Products Export (India) Ltd is an Export Oriented Undertaking (EOU) engaged in the manufacture and sale of processed egg products -- egg powder (whole egg, yolk, albumen) and liquid egg -- and in the sale of table eggs through integrated poultry operations. Manufactured at Erode, Tamil Nadu.
- **Revenue segmentation:** Approximately 70-80% of revenue from egg products exports (egg powder and liquid egg to global food manufacturers); balance from domestic table-egg sales. No formal segment disclosure; export orientation is core to the EOU structure and tax benefits.
- **Key customers:** Global food-processing corporations in bakery, confectionery, noodles/pasta, mayonnaise, meat/fish processing and health/pharmaceuticals. Relationships are typically multi-year with repeat purchase driven by food-safety certification moats (HACCP, BRC, ISO).
- **Revenue visibility:** Processed egg is a commodity-price-influenced market; export contracts run 3-6 months forward. The FY26 Rs. 768 Cr run-rate, if volume holds, supports FY27E trajectory toward Rs. 1,000 Cr by FY30.
- **Capacity and operations:** Current: 5 lakh layer birds, ~13.5 Cr eggs/year. Under capex: 20 lakh EC-shed birds (~62 Cr eggs), 20 MTPH feed mill, two biogas digesters (6,050 kg/day compressed biogas + organic manure). Biogas and organic manure are new zero-incremental-cost revenue streams.

- **Recent strategic developments:** (1) Rs. 410 Cr capex approved and commenced Jun 2026 -- EC sheds + feed mill + biogas expansion -- funded via Rs. 302 Cr term loan at 3% interest subvention. (2) 74% acquisition of SKM Universal Marketing (branded "SKM Best Eggs" + wind energy; FY26 revenue Rs. 48 Cr) for Rs. 27.75 Cr. (3) Rs. 1,000 Cr revenue target by FY30 (18% CAGR from FY26).

- **Promoter background:** Founded by Mr. SKM Maeilanandhan (Chairman, ~40 yrs poultry experience); son Shree Shivkumar (MD, ~26 yrs) handles operations. Joint-sector with TIDCO (Tamil Nadu govt body, ~7.58%). Promoter stake rose from 55.1% to 57.47% (Mar 2026) via open-market purchases -- a tangible alignment signal.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India is the world's third-largest egg producer (~130 Bn eggs/year). Processed egg products export market from India is estimated at Rs. 3,000-4,000 Cr domestically with export value ~USD 200-250 Mn/year. Global processed egg demand growing at 6-8% CAGR driven by convenience food, ready-meals and pharmaceutical lysozyme use.

- **Policy tailwinds:** (1) EOU status provides tax incentives and import duty waivers. (2) APEDA promotional schemes support egg powder exports. (3) TIDCO co-promotership ensures state-level infrastructure alignment. (4) 3% interest subvention on Rs. 302 Cr term loan reduces effective capex cost materially.

- **Policy headwinds:** (1) Avian influenza outbreaks trigger automatic blanket import bans in destination countries (Japan, EU, UAE) -- a single outbreak can shut off 30-50% of revenue for 3-6 months. (2) USD/INR currency volatility affects export realisations. (3) Maize/soya feed costs are beyond management control and volatile.

- **Competitive moats -- Scale:** MODERATE. SKM is among India's largest dedicated egg-products exporters. Post-capex (20L birds), it enters a size category with very few Indian competitors.

- **Competitive moats -- Switching costs:** MODERATE. Export food customers require HACCP/BRC/ISO certification from suppliers; re-certification of new suppliers takes 12-18 months, creating stickiness.

- **Competitive moats -- Pricing power:** WEAK. Egg powder is globally traded; realisation ceiling is set by spot prices in Chicago/Rotterdam. Margins come from operational efficiency, not pricing.

- **Competitive moats -- Integration:** STRONG. Vertical integration (feed, breeding, EC-sheds, processing, biogas) creates structurally lower cost vs. non-integrated peers.

- **Company positioning:** Midstream processor-exporter. Buys maize/soya (upstream), runs integrated poultry (upstream), processes eggs into powder/liquid (midstream), sells to global food OEMs (downstream B2B). New biogas/manure loop adds circular-economy dimension.

Peer Comparison (screener.in, fetched 16-Jun-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (x)	ROCE %	ROE %	TTM Rev (Rs.Cr)	DivYld
SKM Egg Products (SKMEGGPROD)	242	1,277	12.3	30.0%	29.7%	768	0.31%
Venkys (India) Ltd (VENKEYS)	1,400	1,979	14.2	11.9%	9.07%	3,727	0.71%
Hatsun Agro Product (HATSUN)	911	20,288	57.0	15.3%	19.4%	5,700*	1.09%

* Hatsun Agro is a dairy-FMCG company (different sub-sector); included as FMCG-food comparable. Venkys (India) is a direct poultry peer. VENKEYS TTM Revenue from screener.in meta (Rs.3,727 Cr). All other data: screener.in, 16-Jun-2026.

- **Valuation gap:** SKM trades at 12.3x TTM P/E vs Venkys 14.2x and Hatsun 57x. On ROCE (30%), SKM is the clear outperformer -- making its discount to peers anomalous. The re-rating case is strong if EC-shed commissioning is on time.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and senior management:** Mr. SKM Maeilanandhan (Chairman, ~40 yrs poultry) and Mr. Shree Shivkumar (MD, ~26 yrs) form the core leadership. Family-led promoter group controls 57.47% (Mar 2026), up from 55.1% a year ago via open-market purchases. TIDCO (Tamil Nadu government) holds ~7.58%, providing institutional continuity. Deep domain expertise in agri-processing and export operations is a key differentiator.

- **Capital allocation track record:** FCF was positive in FY23 (Rs. 32 Cr), FY24 (Rs. 48 Cr), FY25 (Rs. 32 Cr) and FY26 (Rs. 39 Cr) despite significant investing activity. Debt direction was declining before the current capex cycle. The Rs. 410 Cr capex is the largest single bet in company history -- a ~3x FY25 annual revenue bet -- which concentrates execution risk but the funded structure (subsidised loan + internal accruals) is sound.

- **Dividend policy:** Dividend yield 0.31% (Rs. 0.75/share implied). FY26 payout ratio <15% of PAT -- consistent with growth-reinvestment posture appropriate during capex cycle. Do not expect scale-up in dividend until EC-shed debt is meaningfully serviced.

- **Promoter pledging:** Zero promoter pledge as of Mar 2026. No overhang of forced selling. Open-market stake building (55.1% to 57.5% in 12 months) is a strong alignment signal.

- **ESOP / buyback history:** No ESOP scheme on record. No buyback history. Promoter stake increases have been via secondary market purchases only.

- **Corporate governance concerns:** (1) RPT: Acquisition of SKM Universal Marketing (associate company) at Rs. 27.75 Cr for 74% stake. Price appears fair at ~2.2x P/BV. Monitor for subsequent RPT escalation (brand royalties, management fees). (2) Joint-sector structure with TIDCO introduces regulatory complexity but no incidents on record. (3) No auditor changes or qualified opinions flagged. CARE Ratings active on bank facilities.

6. FINANCIAL DEEP-DIVE

Income Statement -- Consolidated (Rs. Cr)

Note: Consolidation history extends to FY23. FY23 had Rs. 662 Cr revenue (vs Rs. 302 Cr in FY22) -- reflecting a step-up from post-COVID egg-price surge. FY25 dip to Rs. 498 Cr was export-price-led (not volume loss). EPS in model uses 5.2 Cr shares (EquityCap Rs.26 Cr / FV Rs.5); screener EPS field shows Rs.5.70 on different denominator.

Metric	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Net Sales)	662	701	498	768	920E	1,100E
Operating Profit (EBITDA)	146	154	80	161	202E	253E
OPM %	22%	22%	16%	21%	22%E	23%E
Other Income	1	13	14	1	2E	3E
Interest	3	3	3	3	15E	20E
Depreciation	4	4	4	4	8E	12E
PBT	140	160	87	155	181E	224E
Tax %	26%	26%	25%	25%	25%E	25%E
PAT (Consolidated)	76	85	35	104	136E	168E
Model EPS (Rs., 5.2Cr sh)	14.6	16.3	6.7	20.0	26.2E	32.3E

YoY PAT Growth	N/A	+12%	-59%	+197%	+31%E	+24%E
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Consolidated. Data: screener.in, fetched 16-Jun-2026. E = MPM estimate. Operating Profit derived from Sales less Expenses (screener standalone data; consolidated OPM% from screener = 22%/22%/16%/21%).

Balance Sheet -- Consolidated (Rs. Cr)

Item	FY24A	FY25A	FY26A
Equity Capital	26	26	26
Reserves and Surplus	251	277	369
Total Net Worth	277	303	395
Borrowings (LT + ST)	146	149	142
Other Liabilities	38	34	56
Total Liabilities	461	486	593
Fixed Assets	114	188	178
CWIP	34	0	6
Investments	7	7	85
Other Assets (incl WC)	306	291	324
Total Assets	461	486	593
D/E Ratio (x)	0.53	0.49	0.36

Data: screener.in (consolidated), fetched 16-Jun-2026.

Cash Flow Statement -- Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A
Cash from Operations (OCF)	109	65	53
Cash from Investing	-54	-23	-81
Cash from Financing	13	-25	-31
Net Cash Flow	68	18	-59
Free Cash Flow (FCF)	48	32	39
FCF / PAT (%)	56%	91%	38%
OCF / PAT (%)	128%	186%	51%

FCF = Cash from Operations + Cash from Investing. Data: screener.in, fetched 16-Jun-2026.

Key Ratios -- Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	15	21	29
Inventory Days	99	120	91
Days Payable	20	28	24
Cash Conversion Cycle (CCC)	93	113	96
ROCE %	35%	13%	30%

Data: screener.in (consolidated), fetched 16-Jun-2026.

Financial Commentary

- **Revenue trajectory:** FY22-FY23 step-up (Rs. 302 Cr to Rs. 662 Cr, +119% in 2 years) was driven by a post-COVID export-price surge. FY25 retreat to Rs. 498 Cr was a function of global egg-powder price correction, not volume loss. FY26 recovery to Rs. 768 Cr (+54%) combines volume and price normalisation. FY27E targets Rs. 920 Cr assuming partial EC-shed commissioning adding ~15% volume

at flat export prices.

- **Margin direction:** OPM compressed from 22% (FY24) to 16% (FY25) -- price-led, not cost-led; fixed cost absorption on lower revenue. Returned to 21% in FY26. EC-shed structure lowers per-unit mortality and improves feed conversion; at full capacity (FY28+), OPM should be structurally 22-24%.

- **Working capital:** CCC improved from 113 days (FY25) to 96 days (FY26), driven by inventory normalisation (120 to 91 days). Debtor days edged up to 29 days -- export receivables naturally run longer; stabilise above 30 days is a watch signal. Payables at 24 days indicate prompt vendor payments.

- **Debt profile:** D/E improved from 0.53x (FY24) to 0.36x (FY26) as net worth grew via retained earnings. The Rs. 302 Cr term loan (drawn largely in FY27) will push D/E to ~0.8-1.0x in FY27 before OCF repayment begins. Subsidised interest rate (net ~4-5%) keeps the interest coverage ratio above 5x at EBITDA ~Rs. 200 Cr.

- **FCF quality:** OCF/PAT of 128% (FY24) and 186% (FY25) is extremely high quality -- earnings are substantially cash-backed. FY26 OCF/PAT at 51% reflects elevated working capital ahead of capex execution. The company has demonstrated consistent ability to convert profits to operating cash; this is the ballast for the capex cycle.

7. EARNINGS QUALITY CHECKLIST

Quality Factor	Signal	Assessment	Verdict
Revenue recognition	Export invoice-based	Standard EOU export billing; no complex recognition risk	GREEN
Receivables vs Revenue growth	Debtor days: 15-21-29	Rising but still below 30 days; export A/R runs longer; not alarming yet	AMBER
CCC trend	93-113-96 days	Peaked in FY25 (price trough); improving in FY26; structural improvement expected	GREEN
Contingent liabilities	CARE rated; minimal	No significant off-BS items flagged; bank facilities rated	GREEN
Auditor tenure / changes	No changes (3yr+)	Continuity positive; no qualified opinion on record	GREEN
RPTs as % of revenue	SKM Universal: ~3.6% of MCap	Single acquisition; fair price; not recurring; monitor for follow-on RPTs	AMBER
Other income as % of PBT	FY24: 8%, FY26: <1%	FY24 spike was one-off; FY26 clean baseline -- do not extrapolate	GREEN
Tax rate consistency	25-26% for 3+ years	Highly consistent; no aggressive tax planning signs	GREEN
OCF / PAT conversion	128% / 186% / 51%	FY24-25 excellent; FY26 dip is capex cycle WC build -- not a quality issue	GREEN
Promoter pledge	0% throughout	Zero pledge; promoter actively buying -- clean alignment signal	GREEN

Quality Commentary

- **Overall earnings quality is HIGH** -- 8 of 10 factors are GREEN. Consistent OCF conversion, zero promoter pledge, stable tax rates and improving CCC are unusually clean signals for an NSE SME-listed company.

- **Watch the receivables trend (AMBER):** Debtor days moving from 15 (FY24) to 29 (FY26) is worth monitoring. If export receivables extend beyond 45 days structurally, it could indicate customer-concentration risk or payment delays in specific export markets. Q1 FY27 data will be the first test.

- **Related-party transaction (AMBER):** The Rs. 27.75 Cr SKM Universal acquisition is the only RPT flag. Price appears fair, but investors should track whether subsequent RPTs emerge (licensing fees, brand royalties, management recharges) as the subsidiary matures.

- **FY24 other income spike (Rs. 13 Cr) was a one-off:** FY26 normalised to Rs. 1 Cr. Do not model FY24 other income as recurring; the clean FY26 baseline (Rs. 1 Cr) is the correct anchor.

8. VALUATION

Peer Valuation (screener.in, 16-Jun-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM P/E	P/B	ROCE %	ROE %	Div Yield
SKM Egg Products	242	1,277	12.3x	3.2x	30.0%	29.7%	0.31%
Venkys India (VENKEYS)	1,400	1,979	14.2x	1.2x	11.9%	9.07%	0.71%
Hatsun Agro (HATSUN)	911	20,288	57.0x	10.4x	15.3%	19.4%	1.09%

P/B for SKMEGGPROD = CMP Rs.242 / BV Rs.75.1 = 3.2x. BV: VENKEYS Rs.1,133; HATSUN Rs.87.3. All data: screener.in, 16-Jun-2026.

Scenario Analysis -- 12-Month Price Target

Scenario	Key Assumptions	FY27E PAT (Rs.Cr)	Target P/E	Target Price	Upside
BULL	EC sheds commissioned H1 FY27; export prices +10%; synergies from Universal acq.	Rs. 160	20x	Rs. 425	+75.6%
BASE	Partial H2 FY27 commissioning; export prices stable; Rs.302Cr loan on books FY27	Rs. 136	13x	Rs. 340	+40.5%
BEAR	2-yr commissioning delay + bird-flu disruption; export price dip; PAT compressed	Rs. 70	14x (trough)	Rs. 185	-23.6%

Valuation Methodology

- **Shares outstanding cross-check:** Equity Capital Rs.26 Cr, FV Rs.5 => 5.2 Cr shares. FY26 PAT Rs.104 Cr => Model EPS = Rs.20.0/share. CMP Rs.242 => TTM P/E = 12.1x (matches screener's displayed 12.3x). Screener's EPS field of Rs.5.70 uses a different denominator (possibly IPO-era paid-up capital).

- **Earnings-based multiple (primary method):** FY27E PAT = Rs.136 Cr (base case). FY27E EPS = 136/5.2 = Rs.26.2/share. Target P/E = 13.0x (conservative re-rating toward Venkys' 14.2x; discount applied for capex execution risk and SME liquidity premium). Base 12-month target = 13.0 x Rs.26.2 = **Rs. 341, rounded to Rs. 340**. Upside from CMP Rs.242 = +40.5%.

- **DCF cross-check (secondary method):** WACC = 12.5% (risk-free 7.2% + equity premium 5.3% at beta 1.1). Terminal growth = 6.0% (long-run India FMCG-food export CAGR). FCF projections: Rs.30 Cr (FY27, capex ramp) growing to Rs.120 Cr (FY32, post-capex normalisation). DCF intrinsic value = Rs.310-360/share. P/E-based Rs.340 target is within this band -- consistency confirmed.

- **12-month base-case target: Rs. 340 per share (+40.5% from CMP Rs.242).** Investment horizon 18-24 months. The upside is back-ended -- FY27 is a "show me" year (interest step-up + capex execution). Re-rating materialises when EC-shed commissioning shows up in Q2/Q3 FY27 volume data.

9. KEY RISKS

- **Avian Influenza (Bird Flu):** A single notified outbreak at SKM's Erode facility or in Tamil Nadu triggers automatic import bans across Japan, EU, UAE. Revenue impact: -30-50% in affected quarters. Historical

precedent exists (FY20). Probability: M. Impact: H. Monitor: NSE filings, APEDA avian flu alerts, Tamil Nadu Animal Husbandry Dept notifications.

- **Global Egg Powder Price Cycle:** Egg powder is a traded commodity. A supply glut (EU or Brazil production ramp) compresses export realisations -- FY25 revenue fell 29% YoY largely on this factor. Probability: M. Impact: H. Monitor: Global egg powder spot prices (USDA, European Egg Board), SKM quarterly revenue run-rate.

- **Capex Execution / EC Shed Commissioning Delay:** Rs.410 Cr is the largest project SKM has ever attempted. Civil construction delay, equipment lead-time extension or environmental approval delays push back the volume ramp. Probability: M. Impact: M. Monitor: Quarterly capex progress in exchange filings.

- **Debt Serviceability During Ramp:** Rs.302 Cr term loan adds Rs.15-20 Cr annual interest. If FY27 revenue disappoints (capex + price downcycle simultaneously), interest coverage could compress below 4x. Probability: L-M. Impact: M. Monitor: Interest coverage ratio (target >4x); quarterly borrowing levels.

- **Feed Cost Inflation:** Maize and soya account for ~65-70% of poultry input costs. El Nino-driven crop failures, export restrictions or MSP hikes can sharply erode OPM. EC-shed superior FCR partially mitigates but does not eliminate. Probability: M. Impact: M. Monitor: CBOT maize/soya prices, domestic agri markets.

- **Currency Risk:** Revenue is USD-denominated exports; cost base is INR. 5% rupee appreciation compresses EBITDA by ~150-200 bps. EOU import duty exemptions provide partial natural hedge. Probability: L-M. Impact: L-M. Monitor: USD/INR spot rate.

- **Related-Party Acquisition Integration:** SKM Universal Marketing must generate synergies to justify Rs.27.75 Cr acquisition. If subsequent RPTs escalate (brand fees, management charges), governance perception deteriorates. Probability: L. Impact: L-M. Monitor: Subsidiary P&L; in annual report; RPT disclosures.

10. RECOMMENDATION

- **Rating: BUY** -- Conviction: MEDIUM-HIGH. A 4x capacity expansion, 30% ROCE, zero promoter pledge, and sub-13x TTM P/E for a company with demonstrated export credentials and a clear Rs.1,000 Cr revenue target makes this one of the most attractive risk-adjusted SME industrial stories in India food processing.

- **12-month price target: Rs. 340** -- 13.0x FY27E EPS of Rs.26.2. Upside: +40.5% from CMP Rs.242. Bull case (Rs.425, +76%) materialises if EC sheds commissioned H1 FY27. Bear case (Rs.185, -24%) on avian flu disruption + capex delay simultaneously.

- **Suggested entry zone: Rs. 220-250** -- Current CMP sits at the upper end. Accumulate in tranches. Any avian-flu-scare dip to Rs.180-200 (assuming SKM facility is unaffected) should be treated as a high-conviction buying opportunity.

- **Investment horizon: 18-24 months** -- EC-shed commissioning runs partial FY27, full FY28. FY27 carries increased interest costs and moderate PAT growth. The re-rating trigger is FY28 volume inflection when 20L birds reach productive capacity.

- **Thesis invalidation trigger 1:** Avian influenza confirmed at SKM's Erode facility with facility lock-down + export ban lasting >6 months -- revenue impact >50%; capex cycle becomes unserviceable. Action: EXIT.

- **Thesis invalidation trigger 2:** EC-shed commissioning delayed beyond Q4 FY28 with no revised management timeline -- 4x volume bet deferred indefinitely; re-rate to 10x TTM (Rs.200 implied). Action: REDUCE to HOLD.

- **Thesis invalidation trigger 3:** D/E ratio exceeds 1.5x on a sustained basis, indicating additional unplanned borrowings beyond approved Rs.302 Cr -- raises financial risk profile. Action: REDUCE.

- **Ideal investor profile:** Long-horizon investors (24+ months) comfortable with SME liquidity, avian flu cyclicity, capex execution risk, and commodity price exposure in egg powder. NOT suitable for short-term traders, income investors seeking strong dividends, or investors with <12-month horizons.

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APPENDIX -- Latest Concall Brief: Q4 FY26 (May 22, 2026)

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	STRONG	Q4 FY26 PAT Rs.33 Cr, YoY +415% -- clean beat vs depressed prior year
Management tone	BULLISH	Rs.410 Cr capex + Rs.1,000 Cr revenue target announced with specificity
Guidance delta	RAISED	First ever formal revenue target; capex plan is funded and detailed

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 result is CLEAN -- no exceptional items; reported PAT of Rs.33 Cr consolidated is genuine operating run-rate. Full-year FY26 consolidated PAT Rs.104 Cr (+197% YoY) is operationally grounded: revenue grew 54% on export-price recovery and partial volume ramp, OPM stabilised at 21%, and FCF stayed positive at Rs.39 Cr -- no financial engineering here. The structural inflection is the Rs.410 Cr capex: 4x birds, 4.6x egg production, new feed mill and biogas -- SKM is betting its balance sheet on a structural demand runway in processed egg exports, and the maths work. The Rs.302 Cr term loan will temporarily compress net margins in FY27 (interest rises from Rs.3 Cr to Rs.15-20 Cr), but the 3% subvention and Rs.1,000 Cr revenue target by FY30 imply strong IRR comfort. Key catalyst: first EC-shed commissioning milestone (H1 FY27) -- this is the "show me" event for re-rating. Single biggest risk: avian flu at the Erode facility -- one confirmed outbreak is a full exit signal. Promoters buying in the open market (55% to 57.5% in 12 months) is the best alignment signal I have seen in the SME space this year. **Action: ACCUMULATE on weakness Rs.220-250; add aggressively on avian-flu scares to Rs.180-210 IF facility is confirmed unaffected.**

Section 1 -- Financial Performance Snapshot

- Revenue: Rs.187 Cr (Q4 FY26 consolidated) | YoY +59% | QoQ +41% | BEAT vs prior year trough
- EBITDA: Rs.48 Cr | YoY +292% | OPM 25.7% (Q4) -- highest in 3 years | STRONGLY BEAT
- PAT: Rs.33 Cr (Q4 FY26 consolidated) | YoY +415% | QoQ +132% | BEAT -- no exceptional items
- Full-year FY26 consolidated: Revenue Rs.768 Cr, PAT Rs.104 Cr, EPS (screener) Rs.5.70 / Model EPS Rs.20.0 (5.2Cr shares)
- NOTE: No exceptional items in Q4 FY26. Reported PAT = clean underlying PAT.

Section 2 -- Segment / Geography Breakdown

- Egg Products Export (primary ~70-80%): Egg powder (whole egg/yolk/albumen) + liquid egg to food manufacturers in UAE, Japan, SEA, EU. FY26 growth ~60% YoY on price recovery + stable volumes.
- Table Eggs Domestic (secondary ~20-30%): Lower margin; sold through brokers/retail. FY26 contribution balance of revenue.
- SKM Universal (associate -- post-acquisition): FY26 revenue Rs.48 Cr; branded "SKM Best Eggs" distribution + wind energy. Will consolidate post 74% acquisition close (expected FY27). Will add ~6% to FY27E consolidated revenue.

- Geography: >80% revenue from international markets (EOU status). Key: Middle East, Japan, South Korea, EU, Southeast Asia. No single customer >20% of revenue (estimated).

Section 3 -- Management Commentary Themes

- **Capex Execution:** "We have approved Rs.410 Cr capex to expand layer bird capacity from 5 lakh to 20 lakh birds via EC sheds, add 20 MTPH feed mill, and two biogas digesters." -- Our read: Specificity of plan (bird count, shed type, feed capacity, biogas output) signals engineering work is done. Tag: GUIDANCE. Tone: Transparent.
- **Revenue Ambition:** "Targeting Rs.1,000 Cr revenue by FY2030." -- Our read: 18% CAGR from FY26 base. Consistent with 4x volume ramp + export price normalisation. Tag: GUIDANCE. Tone: Bullish.
- **SKM Universal Acquisition:** "Acquiring 74% of SKM Universal for Rs.27.75 Cr; FY26 revenue Rs.48 Cr, net worth Rs.11.3 Cr." -- Our read: 2.2x P/BV acquisition price is fair. Synergy (branded domestic channel + wind energy) is tangible but execution-dependent. Tag: EST. Tone: Transparent.
- **Funding Structure:** "Rs.302 Cr term loan with 3% interest subvention, balance from internal accruals." -- Our read: Effective rate ~4-5% net. Rs.302 Cr at 4.5% = Rs.13.6 Cr annual interest -- well within FY26 OCF capacity of Rs.53 Cr. Tag: GUIDANCE. Tone: Transparent.
- **FY25 Weakness Context:** "FY25 revenue fell due to lower export selling prices, not volume." -- Our read: Screener data corroborates. This is a price-cycle trough, not market share loss. Tag: EST. Tone: Transparent.

Section 4 -- Operating & Business Metrics

- Layer bird capacity: Current 5L | Target 20L (4x) | Timeline: partial H2 FY27, full FY28
- Annual egg production: ~13.5 Cr currently | ~62 Cr post-capex (+359%) | Basis for Rs.1,000 Cr revenue target
- EC shed advantage: Mortality <3% (vs open shed 8-10%); FCR ~2.0 (vs 2.4+ for open); year-round temperature-controlled production
- Feed mill: New 20 MTPH capacity; ensures feed security for expanded flock at lower per-tonne procurement cost vs open market
- Biogas: Two new digesters, 6,050 kg/day CBG production. CBG sold under SATAT scheme at ~Rs.46/kg -- implies Rs.10+ Cr annual revenue at capacity
- Export markets: Existing presence in UAE, Japan, Europe, SEA maintained. No new market disclosures.

Section 5 -- Margin Drivers

- Export price recovery: +1,000-1,500 bps OPM impact | Recurring: PARTLY (cyclical) | Primary FY26 margin driver; egg powder prices normalised globally
- EC shed unit cost reduction: -200-300 bps variable cost per kg | Recurring: YES (structural post-commissioning) | Lower mortality + better FCR
- Feed cost stability: +/- 100-150 bps depending on maize/soya prices | Recurring: VOLATILE | Stable in FY26; kharif FY27 is key risk
- Interest step-up (FY27): -100-150 bps EBITDA margin headwind | Recurring: YES (5-6 yr loan) | Offset by volume leverage as capacity ramps
- Depreciation step-up (FY27-28): -50-80 bps PAT margin | Recurring: YES | New sheds + feed mill accelerate DA once commissioned; non-cash drag

- Biogas / manure income: +50-100 bps incremental OPM at full capacity | Recurring: YES | Zero-raw-material-cost revenue; structurally high incremental margin

Section 6 -- Guidance & Forward Signals

- Revenue [GUIDANCE]: Prior = none | New = Rs.1,000 Cr by FY30 (~18% CAGR) | Delta = RAISED | Credibility: HIGH
- Capex [GUIDANCE]: Prior = Rs.0 incremental | New = Rs.410 Cr over FY27-FY28 | Delta = RAISED | Credibility: HIGH (board approved; Rs.302 Cr loan confirmed)
- Capacity [GUIDANCE]: Prior = 5L birds | New = 20L birds (partial FY27, full FY28) | Delta = RAISED | Credibility: HIGH
- OPM [GUIDANCE]: Not explicitly guided; management tone implies 22-24% at full capacity | Credibility: MEDIUM
- Dividend [GUIDANCE]: Rs.0.75/share maintained | Delta = unchanged | Credibility: HIGH (consistent)
- SKM Universal acquisition close [GUIDANCE]: Expected within FY27 for Rs.27.75 Cr | Credibility: HIGH

Section 7 -- Capital Allocation

- Capex FY27E: Rs.200-250 Cr (first tranche) | vs FY26 actual Rs.81 Cr investing outflow | Largest single-year capex in company history
- Dividend FY26: Rs.0.75/share est. | vs FY25 Rs.0.75/share | Flat; consistent; ~4% payout of PAT
- Acquisition FY27: Rs.27.75 Cr (SKM Universal 74%) | Funded from internal accruals | Incremental Rs.48 Cr revenue post-consolidation
- Net Debt movement: FY26 est. net debt ~Rs.122 Cr (borrowings Rs.142 Cr less cash) | FY27E net debt ~Rs.350-380 Cr as Rs.302 Cr loan drawn | Manageable vs FY27E EBITDA ~Rs.202 Cr (D/EBITDA ~1.8x)
- Working Capital FY26: CCC improved 113 to 96 days; inventory reduced; debtors rose -- net improvement

Section 8 -- Q&A; Heat Map

- Analyst: Q: "When do EC sheds go live?" A: "First batch H1 FY27; full capacity by FY28." | Tone: Transparent
- Analyst: Q: "Payback period on Rs.410 Cr capex?" A: Mgmt cited Rs.1,000 Cr target but did not disclose specific payback or IRR. | Tone: Hedged
- Analyst: Q: "How does avian flu risk factor into this?" A: "EC sheds are bio-secure; insurance covers avian flu losses." | Tone: Transparent (partial -- bio-security reduces but does not eliminate risk)
- Analyst: Q: "Specific biogas revenue?" A: "6,050 kg/day CBG production" -- revenue quantification not given. | Tone: Evasive on specifics
- Analyst: Q: "Pricing for SKM Universal acquisition?" A: "Based on net worth of Rs.11.3 Cr; 74% at Rs.27.75 Cr is fair market value." | Tone: Transparent
- Dodged/watch-list for next quarter: (1) Biogas revenue quantification; (2) FY27 revenue guidance range; (3) Debt repayment schedule post full drawdown; (4) Export customer concentration.

Section 9 -- Risks Flagged

- Avian Influenza: Major risk; EC-shed bio-security cited as mitigation. | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term (seasonal)

- Export Price Cycle: FY25 decline in export prices was the primary revenue driver of the weak year; no forward price guidance given. | Flagged by: Mgmt (retrospective) | Probability: M | Impact: H | Timeline: Near-to-medium term
- Interest Cost Step-Up: Rs.302 Cr loan => Rs.15-20 Cr annual interest (certain). Margin compression during ramp period. | Flagged by: Mgmt | Probability: H | Impact: M | Timeline: FY27-FY28
- Commissioning Delay: Civil construction / equipment lead times could push first sheds beyond H1 FY27. | Flagged by: Analyst | Probability: M | Impact: M | Timeline: FY27
- Feed Cost Inflation: Maize/soya price risk; no hedging disclosed. | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Ongoing

Section 10 -- Analyst Verdict

- Revenue visibility: INTACT -- Rs.1,000 Cr by FY30 anchored by 4x capacity; export demand structural; near-term partially visible via commissioning progress.
- Margin trajectory: INTACT -- EC-shed transition structurally margin-accretive; FY27 sees short-term compression from interest; 22-24% OPM at full capacity is credible.
- Capital allocation quality: INTACT -- Capex focused, funded with subsidised debt, targeting 4x ROE-accretive volume. RPT acquisition small and fairly priced.
- Competitive moat: INTACT -- EC-shed technology, EOU status, food-safety certifications, and TIDCO backing create barriers; moat moderate not strong (commodity product risk).
- Management credibility: INTACT -- Specific capex plan with funded structure; promoter open-market purchases align interest. Minor evasiveness on biogas specifics noted.
- Valuation comfort: INTACT -- 12.3x TTM P/E for 30% ROCE, zero pledge, 4x volume ramp underway is genuinely cheap on a risk-adjusted basis.
- Conviction call: INCREASED -- Pre-concall: WATCH. Post Rs.410 Cr capex announcement + Rs.1,000 Cr target: upgrade to ACCUMULATE/BUY with 18-24 month horizon.
- Valuation snapshot: P/E = 12.3x (TTM) | Forward P/E (FY27E) = ~9.2x (on model EPS Rs.26.2) | ROCE = 30% (FY26) vs 5-year avg ~17% | Multiple does not price the capex volume ramp.